

ricing pomposities, have been happy to spice up their columns with some of my sass. The fund's growth is attributable to the columns in another way: some people have written to tell me they became shareholders just so they can receive the reports, which makes the quarterlies the world's most expensive literary magazine.

The Levity Lens

But aside from winning recognition for the fund and keeping up the spirits of suffering shareholders—not to mention my own—humor can perform a very practical role in the investment process. As long, that is, as I keep the jokes in the copy, not in the portfolio.

It has rightly been said that all investors worth their salt must have a contrarian streak in them. If you go with the consensus, your performance will be consensus—ho-hum average. If you want to buy a stock when it is cheap, you have to go against the grain: it is cheap because most people think it should be and will stay cheap until the company is downsized, upgraded, or turned inside out (even though its recent poor earnings could be nothing more than the equivalent of a head cold). And when a stock is skyrocketing, you've got to question the prevailing euphoria relentlessly, too.

Humor helps, for what is humor but a way of pulling back and looking at things from a different angle, seeing the absurdities, challenging the established wisdom, and skewering complacency?

If you take things (including yourself) too seriously, you will probably miss the critically important changes that are occurring around you. Doggedly serious people tend to spend their time justifying the world as it is. They have trouble with the new, because new things are hard to understand and therefore intimidating, even a bit frightening.

In the investment world, the serious, establishment people stick with the so-called blue chips, secure in the belief that what is now